

STRICTLY CONFIDENTIAL – INTERNAL ACCESS ONLY (TIER 1)

Document ID: AUDIT-2026-Q1-RED

Subject: Quarter 1 Internal Audit "Redline" Observations & Compliance Failures

Classification: Restricted (L1 Administrator Clearance Required)

Date: April 15, 2026

1. Executive Summary

This report details critical "Redline" failures—security and compliance breaches identified during the Q1 2026 internal audit. These observations represent immediate risk to the bank's operational license and must not be disclosed to general staff (Tier 2/3) to prevent institutional panic and external exploitation.

2. Critical Observation: Identity & Access Management (IAM)

- **Location:** Hyderabad High-Tech Branch & Regional Backend Operations.
- **Finding:** Audit identified a **12% failure rate** in Multi-Factor Authentication (MFA) adherence among senior relationship managers.
- **Risk:** High. Unauthorized access to corporate liquidity portals was detected using legacy session tokens that should have been invalidated.
- **Redline Action:** Immediate revocation of all Tier 2 credentials for users with over 30 days of inactivity.

3. Compliance Breach: NRI Loan-to-Value (LTV) Ratios

- **Finding:** Several NRI Home Loan approvals in Jan 2026 exceeded the bank's maximum **80% LTV threshold**, reaching as high as **92%**.
- **Observation:** Underwriting staff bypassed the "Sentinel" automated checks by manually entering inflated property valuations.
- **Exposure:** ₹14.5 Crore in unsecured debt currently hidden under "standard" asset categories.

4. AML/KYC Vulnerability: High-Risk Transaction Flagging

- **Finding:** The automated Anti-Money Laundering (AML) system failed to flag three "Smurfing" patterns (series of small deposits to avoid detection) totaling ₹85 Lakhs from a shell entity in a non-FATF compliant jurisdiction.
- **Internal Failure:** A software patch in Dec 2025 inadvertently disabled the "Aggregated Velocity" check for accounts opened less than 90 days ago.

5. Data Sovereignty Violation

- **Finding:** Staff at the Vizianagaram branch were found utilizing unauthorized personal mobile devices to capture images of customer PAN cards for "faster processing."

- **Impact:** Massive breach of Digital Personal Data Protection (DPDP) Act. Potential fine of up to ₹250 Crore if discovered by regulators.

6. Mandatory Remediation Schedule

- **Immediate (48 Hours):** Reset of all root encryption keys for the core banking server.
- **7 Days:** Mandatory re-training for all Level 1 and Level 2 personnel involved in NRI loan processing.
- **End of Month:** Full migration to the **Sentinel GraphRAG** governance platform to eliminate manual "bypass" capabilities.

Approved by: *Chief Audit Officer (CAO) Sentinel Compliance Group*